

From Thesis to Defensible Value

An end-to-end operating thesis for prioritization, underwriting, value creation, evidence attribution, financing visibility and exit defense.

PRIORITIZE

UNDERWRITE

MEASURE

ATTRIBUTE

PROVE

FOUNDING / DESIGN-PARTNER PROPOSAL

Prepared by Martha (Betsy) Salter
Salt Basin Holdings

WORKING HYPOTHESIS • JULY 2026

The opportunity is larger than a CRM, reporting, or portfolio-monitoring decision.

Lone Tree's stated pain points connect to one underlying question: can the firm preserve the meaning and evidence behind business outcomes as they move across the investment lifecycle?

400K ACCOUNTS → FOCUSED ATTENTION

Prioritize companies and relationships when debt maturity, covenant state, valuation, hold age, growth, margin or financing patterns make them newly relevant.

PIPELINES → CAPITAL DECISIONS

Connect acquisition and financing pipelines so target relevance, lender fit, debt capacity, terms and transaction outcomes can be compared.

PORTCOS → DEFENSIBLE OUTCOMES

Trace customer, contract, pricing, billing, cash, GL and operating events into value-creation outcomes and thesis evidence.

Salt Basin's thesis

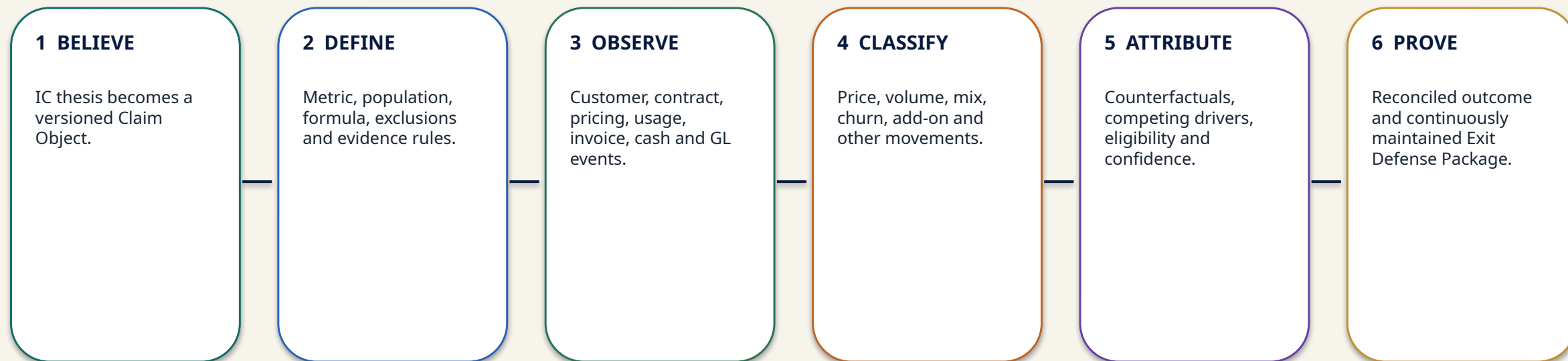
The first win is not another dashboard. It is a shared, time-aware operating language that makes prioritization, underwriting, quarterly reporting, value attribution and exit claims reproducible.

ONE PLATFORM • ONE TRUTH • PROVEN IMPACT

Technology follows definition. Existing systems can remain in place while Salt Basin governs meaning, lineage, evidence and cross-system convergence.

Salt Basin turns the investment thesis into a persistent, testable evidence object.

Instead of waiting until exit to reconstruct why ARR, EBITDA, margin or cash changed, the evidence chain is built while value is being created.



The differentiated output is not “ARR increased \$6.26M.”

It is: how much movement occurred, how much was eligible, what competing explanations existed, what evidence was missing, and how much impact is currently defensible—with confidence and temporal lineage.

The proposal is to prove the method on LoneTree's own evidence—then expand where the economics are strongest.

The valuation-multiple relationship remains a hypothesis to validate, not a guaranteed outcome.

FOUNDING BACKTEST

10 business days • 2–3 historical deals

Extract material IC claims. Trace quarterly and iLEVEL/Excel evidence. Compare exit CIM requirements. Measure reconstruction burden. Backtest what earlier definition could have avoided.

ACTIVE PORTFOLIO BASELINE

Define claim-level evidence maturity, Cost to Produce Truth™, customer and revenue lineage, debt maturity overlays, reporting reconciliation, and a 100-day opportunity map.

SPONSOR OPERATING LAYER

Scale the methodology across account prioritization, acquisition pipeline, financing pipeline, value-creation tracking, underwriting evidence and exit defense through Salt Basin products and agents.

Testable outcome chain

Stronger definitions + preserved lineage + lower reconstruction burden + more reproducible outcomes → potentially lower perceived uncertainty and stronger valuation support.

LoneTree operating context

What we heard, the root-cause hypothesis, and why the opportunity spans both sponsor-level prioritization and portfolio-company evidence.

The pain sounds operational before it sounds technical.

The existing proposal identified Excel + Salesforce pipeline dependency, a separate financing pipeline, manual quarterly reporting, iLEVEL mapping issues and a potential Salesforce exit decision.

Pipeline in Excel + Salesforce	Manual manipulation and inconsistent field discipline	Prioritize the right accounts and conversations
Separate financing pipeline	Lender relationship and deal data may not connect to terms or outcomes	Know which capital relationships actually work
Quarterly manual reporting	Portcos repackage data into sponsor templates	Reduce rework and improve confidence
iLEVEL mapping issues	Bottom-up data may not align to sponsor definitions	Reconcile fund, portco and lender views
Salesforce exit consideration	A system change can preserve ambiguity if definitions are not fixed first	Avoid rebuilding definition debt

The reconciliation problem probably starts before iLEVEL.

If customer/account identifiers, contract lineage, pricing terms, invoice/payment events, journal-entry granularity and COA mappings are not aligned, downstream tools inherit ambiguity.



MISSING LINEAGE

Summary financial results cannot explain which customer, contract or business event changed the outcome.

TEMPLATE DRIFT

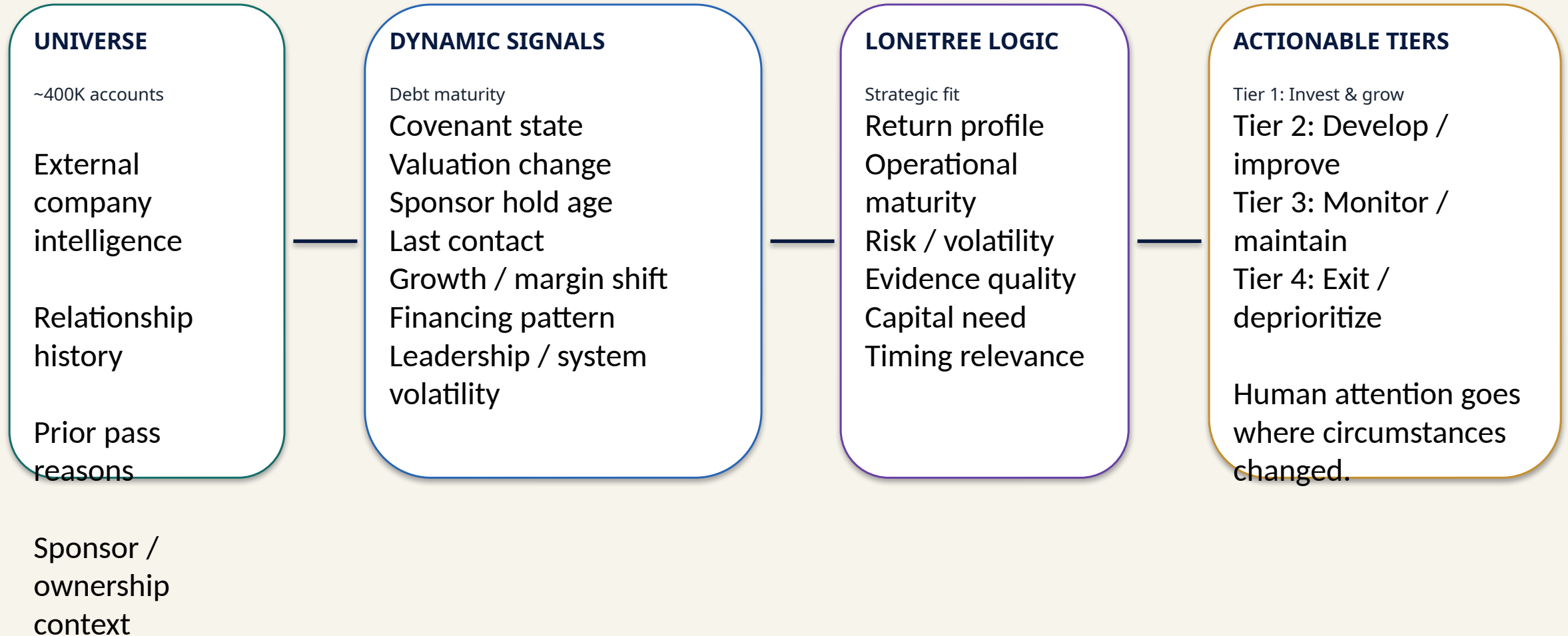
Excel becomes hidden transformation logic rather than a controlled reporting output.

MAPPING DEBT

Downstream portfolio tools receive numbers without enough business context to explain them.

400,000 companies are only useful if relevance can change over time.

Salt Basin can connect external market signals and relationship history through LoneTree-specific relevance logic.



Acquisition and financing pipelines should remain distinct—but become analytically connected.

The objective is not to collapse two workflows. It is to compare their risk-adjusted economics and evidence on a common decision layer.

ACQUISITION PIPELINE

Target screening • strategic fit • financial fit / synergy • integration readiness • deal scorecard • post-merger value tracking

Question: who fits the thesis, and what measurable value can be created?

FINANCING PIPELINE

Debt capacity / headroom • debt maturity ladder • covenant restrictions • refinance / reprice options • lender fit • cash-flow forecasting

Question: what capital structure and financing relationship best supports the thesis?

CAPITAL ALLOCATION ENGINE

Defensible data definitions can improve the reproducibility of underwriting.

The near-term claim is easier underwriting and financing analysis—not guaranteed better pricing or a higher multiple.

DEFINED

ARR, NRR, EBITDA, concentration, churn, cash and debt terms have governed meanings.

REPRODUCIBLE

Formula, population, source, effective period and calculation version are retained.

RECONCILED

Contract, invoice, revenue, AR, cash, GL and debt activity are tested across systems.

EXPLAINABLE

Movement is tied to customer, contract and operating events rather than only period-end values.

DEFENSIBLE

Assumptions, exceptions, evidence gaps and confidence are explicit for lenders, IC and buyers.

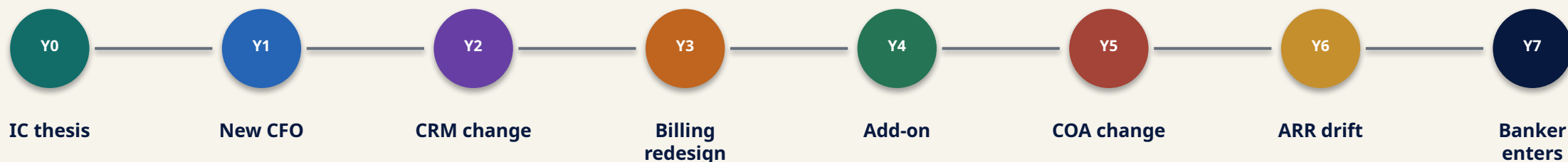
Potential measurable outcomes to test: fewer underwriting follow-ups • faster lender response • lower metric reproduction time • fewer unexplained adjustments • clearer covenant and debt-capacity analysis.

The thesis evidence operating model

Cost to Produce Truth™, claim-level maturity, evidence chains, attribution and the time dimension across a seven-year hold.

The question is not whether the data exists. The question is whether its meaning survived.

A longer hold expands the evidence reconstruction surface.



THE EXIT QUESTION

“Show us seven years of ARR movement by customer cohort and explain the value-creation drivers.”

A simple buyer question can become a cross-system reconstruction project if definitions, versions, events and evidence did not travel with the numbers.

Cost to Produce Truth™ measures the economic burden of making a material outcome defensible.

Baseline it at acquisition. Reduce it during the hold. Prove the improvement at exit.

MANUAL EFFORT

Hours and FTE burden

RECONCILIATION

Breaks and rework

DEFINITION DEBT

Conflicts and versions

DATA REMEDIATION

Backlog and mapping

KEY-PERSON RISK

Knowledge concentration

EVIDENCE GAPS

Untraceable claims

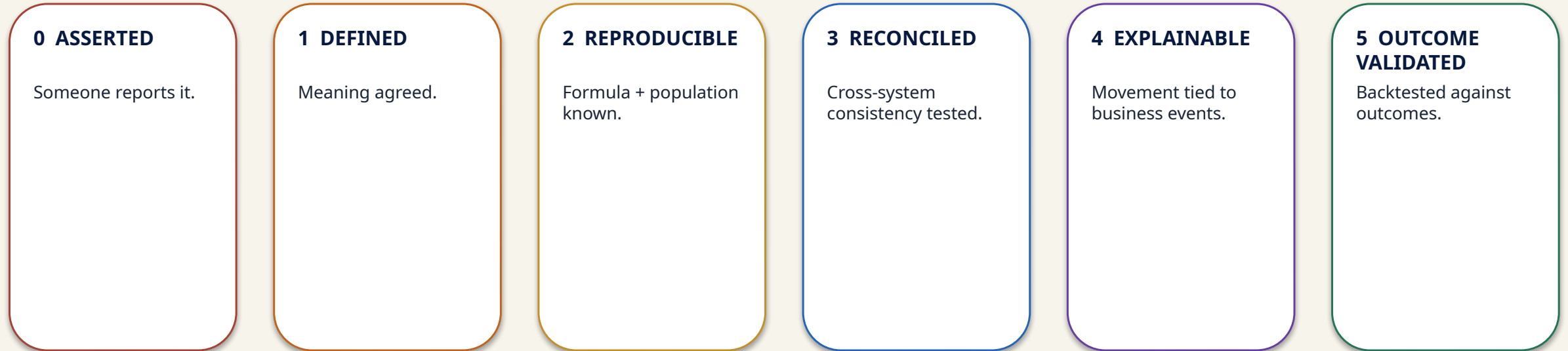
BASELINE AT ACQUISITION

REDUCE DURING HOLD

PROVE AT EXIT

The unit of maturity is the business claim—not the company.

ARR can be mature as a definition and still be weak as evidence. Operational volatility can also pull a claim backward.

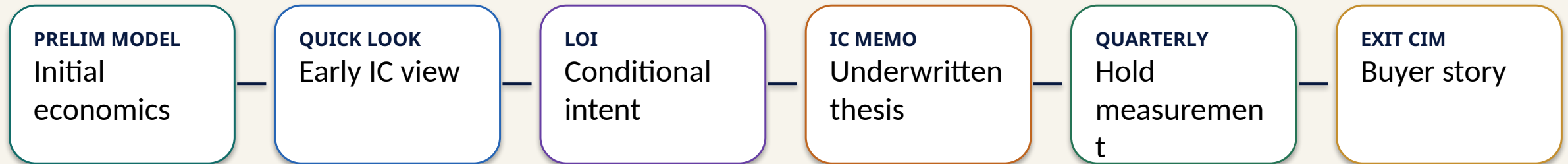


Signals that can weaken the evidence chain



The documents already form a lifecycle. The opportunity is to preserve meaning as numbers move through them.

Salt Basin enriches—not replaces—the prelim model, Quick Look, LOI, IC memo, quarterly reporting and exit CIM.



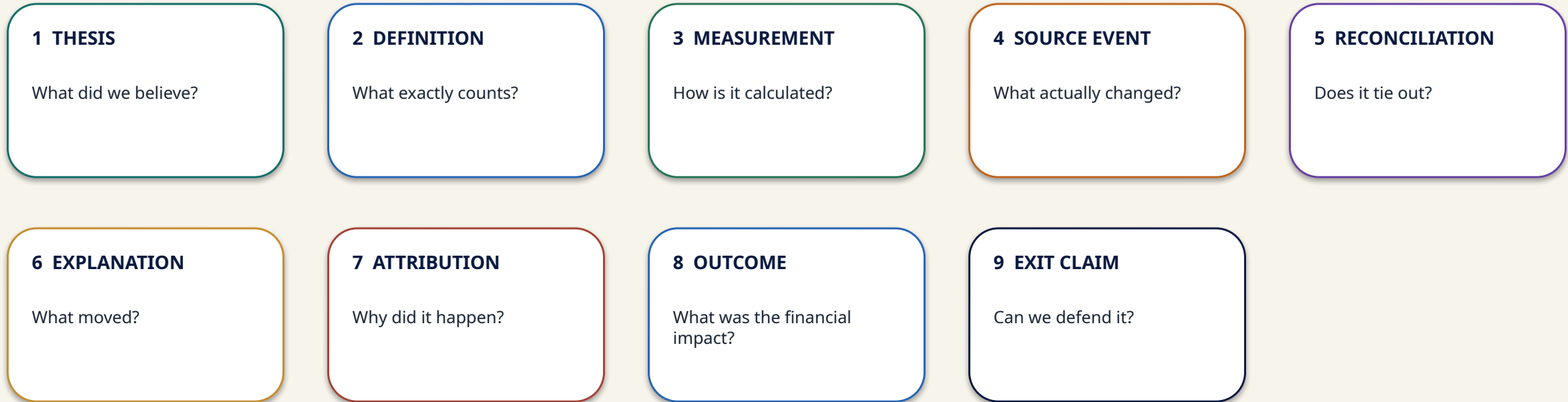
ENRICHMENT LAYER

Definition • Formula • Population • Source • Evidence owner • Effective date • Version • Adjustment state • Reconciliation status • Reason for change • Confidence • Lineage

The goal is to preserve what the number meant, why it changed, and what evidence supported it at each point in time.

Every material thesis claim receives explicit proof requirements.

The POC's pricing-transformation example exposes where a claim can be defined and measured but still weak in causal attribution.



Weakest-link logic: a strong formula cannot compensate for missing amendment lineage; a reconciled ARR bridge cannot prove the initiative caused the movement.

The thesis becomes a versioned belief object—not narrative trapped in an IC memo.

Salt Basin preserves what management actually believed at the time and prevents the thesis from being rewritten after the result is known.

TH-001 • PRICING TRANSFORMATION

Literal thesis: implement a governed pricing model to reduce discount leakage and drive \$4.0M of incremental ARR while improving gross margin by 150 bps over five years.

Start: 2027-01-01

Expected lag: 6 months

Primary metric: Attributed ARR

Secondary: Discount %, Gross Margin

GOVERNED CLAIM METADATA

- Claim ID + thesis version
- Literal thesis statement
- Owner + organizational owner
- Status + priority
- Created / effective / target dates
- Time horizon + expected lag
- Target metric + target value
- Supporting metrics
- Assumptions + success criteria
- Baseline period
- Eligibility rules
- Confidence requirement
- Exit evidence requirement

Classification is not attribution.

An Initiative_ID attached to an amendment does not prove that the initiative caused the economic result.



ATTRIBUTION LOGIC

Claim → candidate driver → counterfactual → evidence → competing driver → allocation rule → confidence → approval → temporal validity.
 The “currently defensible attributed impact” can change as new evidence arrives while historical determinations remain preserved.

What would reasonably have happened without the initiative?

Salt Basin does not need to claim perfect scientific causality. It needs a transparent, governed attribution methodology.

Historical price-
increase behavior

Market price
movement / inflation

Competitor pricing

Contractual escalators

Customer and product
mix

Acquisition population
changes

Baseline retention
behavior

Sales capacity changes

General market
demand

Unrelated commercial
programs

DEFENSIBLE ATTRIBUTION ≠ ARTIFICIAL CERTAINTY

Preserve the selected counterfactual method, supporting evidence, known limitations, competing explanations and confidence. Make the reasoning reproducible and challengeable.

Entity existence is not the same as portfolio inclusion, financial consolidation, thesis eligibility or attribution eligibility.

The time dimension is part of the data model—not a reporting filter added later.

ENTITY VALID	When the entity exists in master data	effective_from → effective_to
PORTFOLIO INCLUSION	When it belongs to the portfolio economic perimeter	effective_from → effective_to
FINANCIAL CONSOLIDATION	When results enter consolidated financial reporting	effective_from → effective_to
THESIS ELIGIBILITY	When the entity or event qualifies for the thesis population	effective_from → effective_to
ATTRIBUTION ELIGIBILITY	When observed movement can be allocated to the initiative	effective_from → effective_to

Salt Basin data model and Orbit

How flat POC rows become governed atoms, molecules, rods, convergence states and operational reporting.

EXAMPLE: TH-001 PRICING TRANSFORMATION CLAIM → SALT BASIN DATA MODEL

From POC Excel Row to Defensible Evidence Chain Across 3 Data Rods Over 7 Years

PROVEN → PRIORITIZED → PROVED
Evidence turns data into enterprise value.

1. FROM POC EXCEL (SOURCE)

Sheet: Claims Register + Drivers + Transactions

Claims_Register (Example Row)

Thesis_ID	Thesis_Name	Customer_ID	Start_Date	End_Date	Investment	EBITDA_Impact
TH-001	Pricing Transformation	CUST-017	2023-01-01	2029-12-31	\$850,000	+ \$1,950,000

Drivers (Decomposition for CUST-017)

Price_Effect	Volume_Effect	Mix_Effect	Churn_Effect	AddOn_Effect	Total_ARR_Impact
\$4,000,000	\$2,300,000	\$1,100,000	(\$700,000)	\$1,250,000	\$7,950,000

Transactions (Sample Rows)

Date	Customer_ID	Contract_ID	Event_Type	Amount	Currency
2023-02-15	CUST-017	CTR-1001	Amendment	\$1,800,000	USD
2023-04-01	CUST-017	CTR-1001	Invoice	\$450,000	USD
2023-04-30	CUST-017	CTR-1001	Cash	\$450,000	USD
2023-07-01	CUST-017	CTR-1001	Usage	\$320,000	USD
...	...	...	...	...	...

2. INTO SALT BASIN DATA MODEL (TARGET)

The same information modeled as governed, linked, time-stamped atoms that create a verifiable evidence chain.

SALT BASIN 4D/5D CRYSTAL DATA MODEL

Atoms (3D) → Molecules (Capabilities) → Crystals (Aggregates) → 4D/5D (Time + State)

CORE FOUNDATIONAL ATOMS (Examples)



CAPABILITY MOLECULES (Examples)



CRYSTALS (Business Aggregates)



3. THE EVIDENCE CHAIN FOR TH-001 (CUST-017)

One pricing amendment flows across 3 interdependent rods and creates measurable outcomes.

THREE PARALLEL DATA RODS (Always On)



EXISTING CUSTOMER CHANGE BRANCH (TH-001 Pricing Amendment)



4. LITERAL EXAMPLE: TH-001 PRICE AMENDMENT EVENT EXPLODED

From a single amendment to financial impact and proof.



5. OUTCOME MEASUREMENTS (OVER 7 YEARS)

Time-phased impact with reconciliation and confidence.

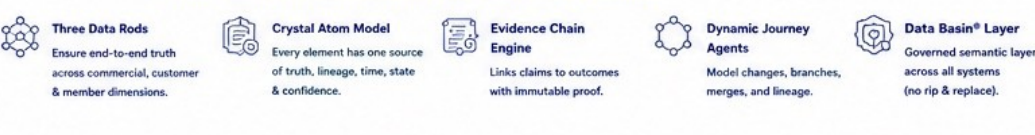
Metric	Y1 (2023)	Y2 (2024)	Y3 (2025)	Y4 (2026)	Y5 (2027)	Y6 (2028)	Y7 (2029)	TOTAL / CAGR
ARR Impact (Price)	\$1.2M	\$1.6M	\$1.0M	\$0.6M	\$0.3M	\$0.2M	\$0.1M	\$5.0M / 21%
EBITDA Impact	\$0.45M	\$0.60M	\$0.40M	\$0.25M	\$0.15M	\$0.10M	\$0.05M	\$2.00M / 19%
Cash Impact	\$0.70M	\$1.00M	\$0.70M	\$0.45M	\$0.30M	\$0.25M	\$0.15M	\$3.55M / 20%
Gross Margin Impact	\$0.90M	\$1.30M	\$0.90M	\$0.60M	\$0.40M	\$0.30M	\$0.20M	\$4.60M / 20%
Confidence Score	0.88	0.90	0.92	0.93	0.93	0.94	0.94	0.92 Avg



6. HOW THIS SOLVES FOR LONETREE'S PRIORITIES



7. SALT BASIN DIFFERENTIATORS THAT MAKE THIS POSSIBLE



SALT BASIN TURNS SPREADSHEETS INTO DEFENSIBLE, TIME-STAMPED, SOURCE-LINKED TRUTH.

→ MORE CONFIDENCE. LOWER RISK. STRONGER STORY. HIGHER VALUATION MULTIPLE.

THESIS PROVEN → VALUE UNLOCKED

That is how we build a higher valuation multiple at exit.

SALT BASIN ORBIT VISUAL & DATA MODEL (ILLUSTRATIVE)

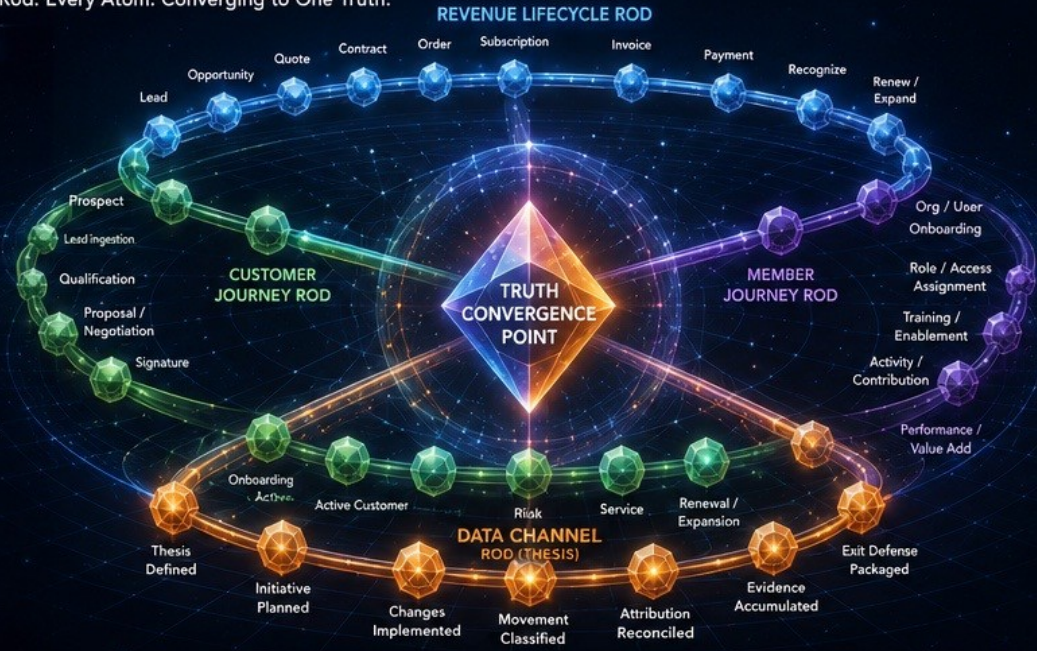
The 3D Orbit of Evidence: From Thesis to Defensible Value at Exit

Every Orbit. Every Rod. Every Atom. Converging to One Truth.

THE 4D ORBIT MODEL (ILLUSTRATIVE)

- Revenue Lifecycle Rod**
Commercial & Financial Truth
- Customer Journey Rod**
Customer & Relationship Truth
- Member Journey Rod**
People & Participant Truth
- Data Channel Rod (Thesis)**
Thesis, Attribution & Evidence Truth

- ### 4D DIMENSIONS (ILLUSTRATIVE)
- X = Time (When)**
 - Y = Entities (Who / What)**
 - Z = Context (Why / How)**
 - W = Confidence (How Sure)**



DATA MODEL: CRYSTAL ATOMS & MOLECULES (ILLUSTRATIVE)

CRYSTAL ATOM (ILLUSTRATIVE)

The smallest unit of governed truth. Owns one bounded definition, evidence rule, validation, lineage and temporal history.

- Definition
- Evidence
- Validation
- Temporal History
- Confidence
- Lineage



MOLECULE (CAPABILITY GROUPING) (ILLUSTRATIVE)

Groups of atoms that form a business capability.



DATA MODEL HIERARCHY (ILLUSTRATIVE)



EXAMPLE ATOM TYPES ON THE RODS (ILLUSTRATIVE)

- | Revenue Lifecycle Rod Atoms | Customer Journey Rod Atoms | Member Journey Rod Atoms | Data Channel (Thesis) Rod Atoms |
|--|---|--|--|
| <ul style="list-style-type: none">Contract AtomOrder AtomInvoice AtomRevenue AtomPayment AtomAmendment Atom | <ul style="list-style-type: none">Customer AtomSegment AtomLifecycle Stage AtomNPS AtomChurn Risk AtomService Event Atom | <ul style="list-style-type: none">User AtomRole AtomActivity AtomContribution AtomLicense AtomTenure Atom | <ul style="list-style-type: none">Thesis AtomInitiative AtomChange AtomMovement AtomAttribution AtomEvidence Atom |

HOW THE ORBIT WORKS (ILLUSTRATIVE)



THE CONVERGENCE EFFECT (ILLUSTRATIVE)



WHAT CONVERGENCE DELIVERS (ILLUSTRATIVE)

- ✓ Single Source of Defensible Truth
- ✓ Cross-Rod Reconciliation
- ✓ Time-Aware & Versioned
- ✓ Attribution with Confidence
- ✓ Evidence-Backed Outcomes
- ✓ Audit & Exit Defense Ready
- ✓ Higher Valuation Confidence

THE RESULT:

From Data in Motion → To Defensible Value
From Questions → To Proof

DATA CHANNEL ROD (THESIS) DEEP DIVE (ILLUSTRATIVE)



OPERATIONAL REPORTING TIED TO THE ORBIT (ILLUSTRATIVE)

Operational dashboards pull governed, converged data from the orbit in real time.

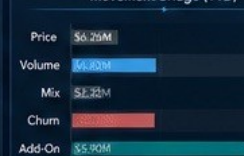
Thesis Impact Summary

ATTRIBUTED IMPACT (ARR)

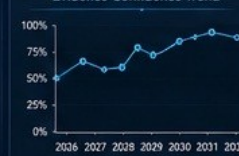
\$3.91M 81%



Movement Bridge (YTD)



Evidence Confidence Trend



Rod Health



Exit Readiness



ILLUSTRATIVE PRINCIPLES OF THE ORBIT

- Persistent:** Every claim has a persistent object.
- Governed:** Attribution is methodical, not manual.
- Time-Aware:** Every atom knows when.
- Evidence-Backed:** Proof beats opinion.
- Convergent:** Multiple inputs, one truth.
- Defensible:** Built for diligence, audit and exit.

ALL ELEMENTS, SCORES, FLOWS, AND OUTCOMES ARE ILLUSTRATIVE. NOT ACTUAL RESULTS OR GUARANTEED OUTCOMES.

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The spreadsheet proves the business concept; the target model makes the relationships persistent, temporal and governable.

The mapping workbook translates flat tables and implied IDs into explicit objects, lineage and agent/security behavior.

THEESIS REGISTER	Claim Object + Thesis Version + Target + Assumption	Persistent belief and proof requirement
CONTRACT AMENDMENTS	Commercial Event Atom + Contract Term Atom + Pricing Version Lineage	Prior term → amended term → effective-time lineage
TRANSACTIONS	Source Event Atom + Financial Event Atom	What actually happened in source systems
PERIOD MATH	Metric Observation + Calculation Version + Period Snapshot	Reproducible period-specific metrics
INITIATIVE ATTRIBUTION	Attribution Object + Driver Molecule + Claim-to-Event Link	Causation test rather than correlation
EVIDENCE + MATURITY	Evidence Requirement + Validation + Maturity + Volatility Signals	Weakest-link and dynamic evidence state

The three operational rods remain always on; the Data Channel Rod carries thesis, attribution and evidence truth.

A single pricing amendment can change commercial truth, customer state, entitlement or usage state, and the evidence supporting a thesis claim.

REVENUE LIFECYCLE ROD

Lead → Quote → Contract → Order → Bill → Collect → Recognize → Renew / Adjust

Commercial / financial truth

CUSTOMER JOURNEY ROD

Prospect → Qualify → Negotiate → Sign → Onboard → Active → Service / Usage → Renew / Risk

End-to-end customer truth

MEMBER JOURNEY ROD

Organization → User → Role / Entitlement → Access → Product → Activity → Support → Change / Churn

People / participant truth

DATA CHANNEL ROD

Thesis Defined → Initiative Planned → Changes Implemented → Movement Classified → Attribution Reconciled → Evidence Accumulated → Exit Defense

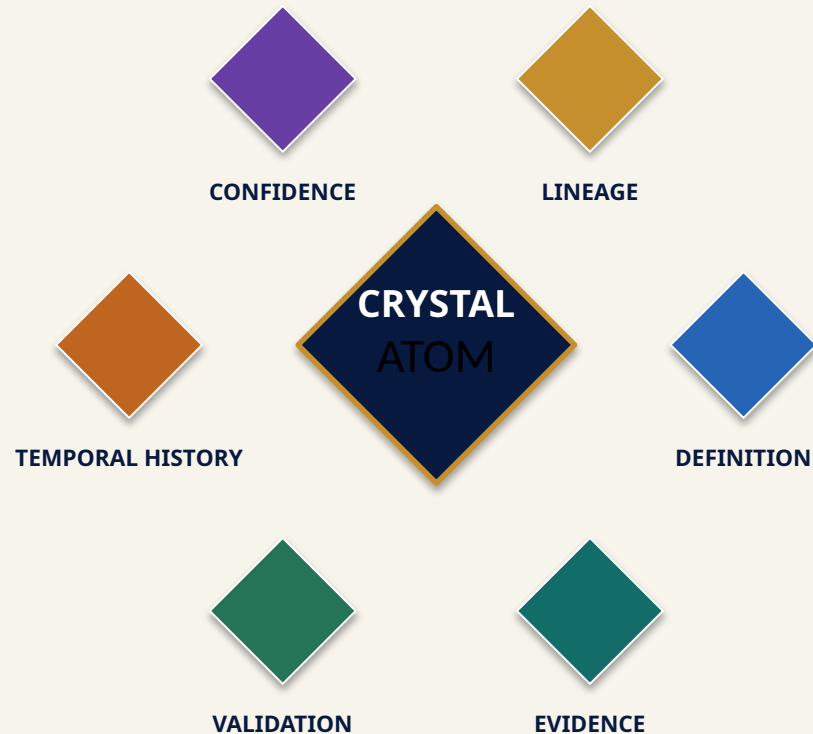
Thesis / evidence truth

CONVERGENCE

Revenue Truth + Customer Truth +

Geometry represents bounded metadata—not decoration.

Each atom owns one bounded definition, evidence rule, validation state, temporal history, confidence and lineage.



DATA MODEL HIERARCHY

ATOM — smallest unit of governed truth

MOLECULE — atoms grouped into a business capability

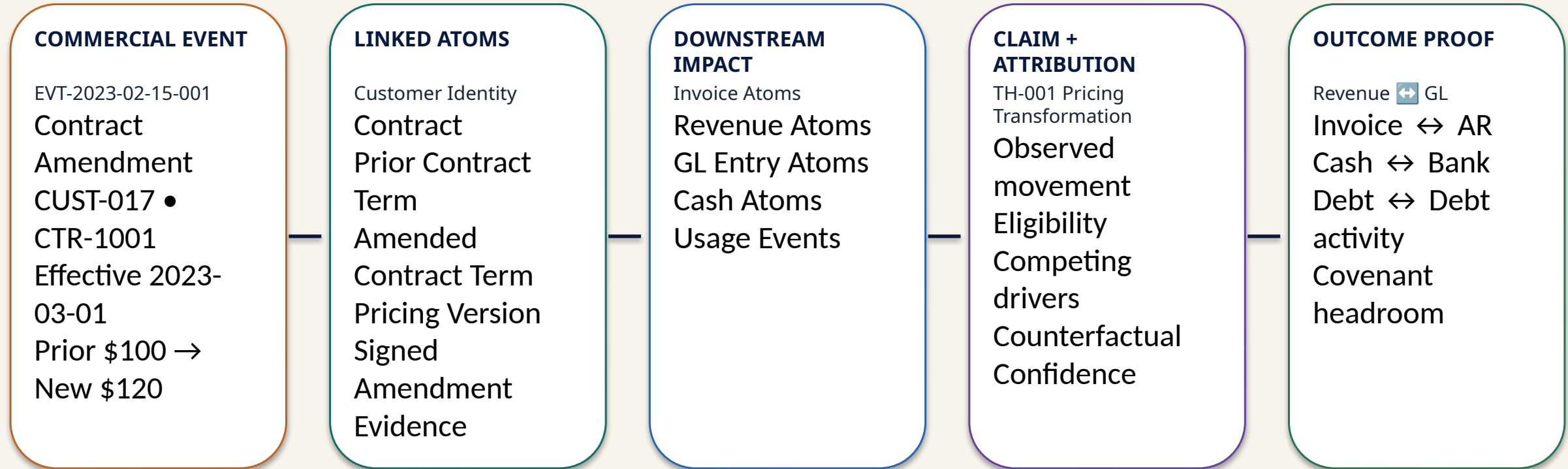
CLUSTER — domain / aggregate grouping

ROD — end-to-end journey and state progression

ORBIT — cross-rod convergence into enterprise truth

One TH-001 price amendment explodes into a full evidence path.

The target model can answer which customer, contract, prior term, amended term, pricing version, source evidence and downstream financial events support the claim.



The same event can traverse multiple rods. Cross-rod convergence determines the governed state rendered in dashboards and the Exit Defense Package.

Dashboards render governed state; they are not where truth is manually interpreted.

The architecture is Data Atoms → Molecules → Rods → Classification → Attribution → Evidence → Convergence → Governed State → Dashboard.

THESIS IMPACT

\$3.91M currently defensible attributed ARR
81% confidence

MOVEMENT BRIDGE

Price • Volume • Mix • Churn • Add-on
Explained vs unexplained

EVIDENCE CONFIDENCE

Evidence quality • attribution strength •
completeness • temporal integrity

ROD HEALTH

Claim-level maturity and volatility by rod and
stage

EXIT READINESS

Evidence requirements, gaps, owners,
freshness and defense-package completeness

ONE GOVERNED STATE

Aligned • Reconciled • Time-aware • Scored •
Defensible

From operating signals to measurable outcomes

How Salt Basin products and methodology map to LoneTree priorities, financing, customer prioritization and value creation.

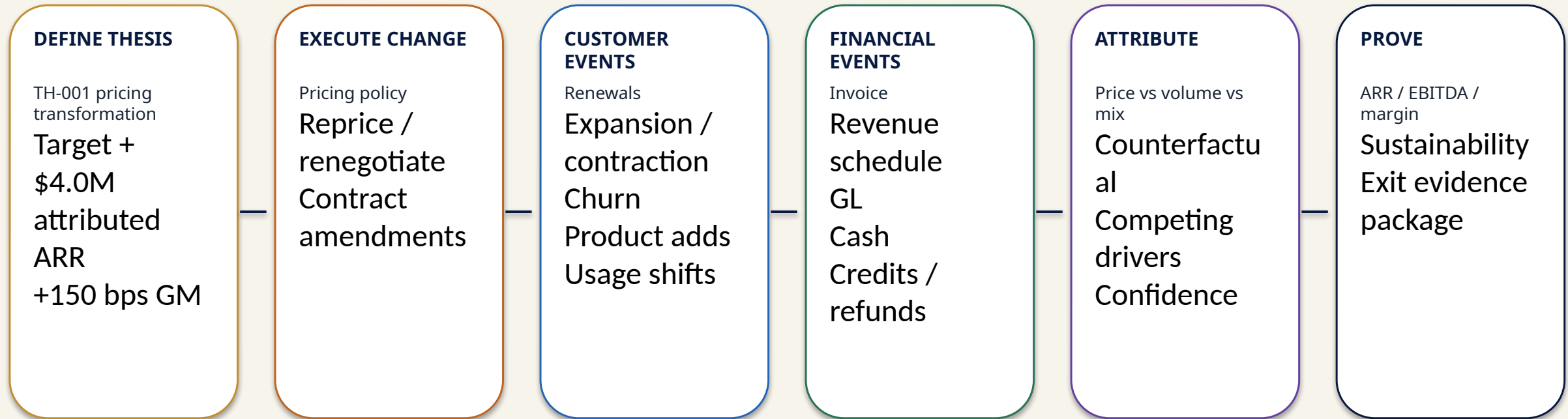
Salt Basin products should be described by the outcome they enable —not by feature inventory.

Each outcome is produced through a specific methodology and product responsibility.

Prioritize customers & accounts	Signal Detection + Dynamic Relevance	Operating Reality Lens + Dashboards / Agents	400K universe → focused, time-sensitive tiers
Improve underwriting	Definition + Reconciliation + Evidence Maturity	Data Basin + Evidence Chain Engine	Reproducible metrics, fewer unexplained adjustments
Strengthen financing visibility	Debt / Covenant Event Modeling + Scenario Analysis	Journey Data Rods + Dynamic Journey Agents	Debt maturity ladder, headroom, refinance windows
Prove value creation	Thesis Definition + Attribution + Counterfactual	Thesis Ledger + Evidence Chain Engine	Currently defensible attributed impact
Improve ARR / NRR sustainability	Journey Modeling + Revenue Pattern Intelligence	Revenue Engine OS + Journey Data Rods	Price / volume / mix / churn / add-on movement
Reduce reporting burden	Governed Semantic Layer + Metric Versioning	Data Basin + Dashboards / Agents	Repeatable source-to-output reporting
Build exit defense	Evidence Accumulation + Convergence	Evidence Chain + Orbit + Thesis Ledger	Continuously maintained Exit Defense Package
Test data ROI	Cost Tracking + Benefit Observation	Cost Basis & Data ROI Model	Cost to Produce Truth baseline and payback test

The evidence chain should follow both operating change and customer change over time.

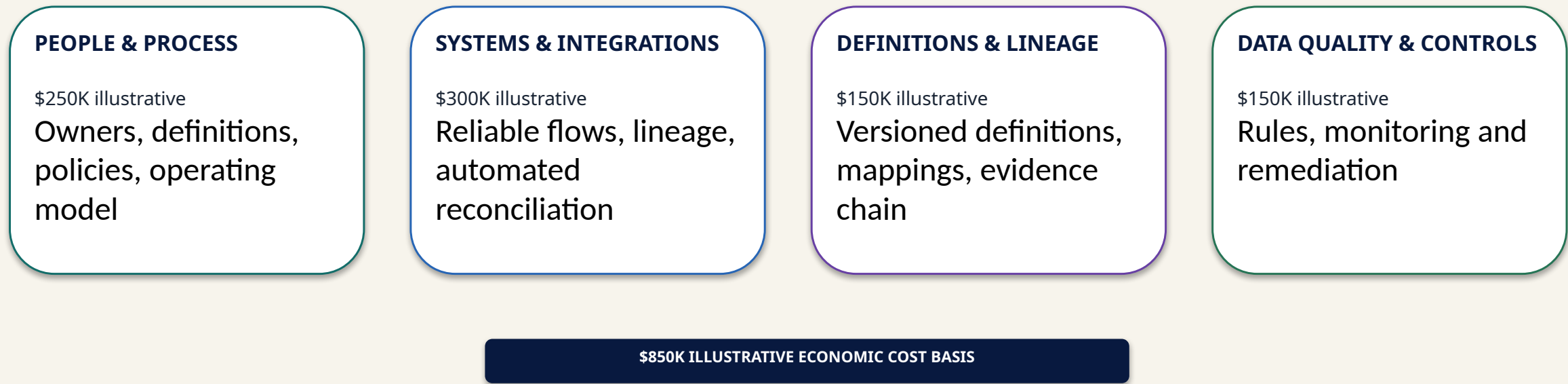
A thesis is only defensible if the path from initiative to customer / contract event to financial movement remains explainable.



Time is explicit: created_at • event_at • effective_from/to • accounting period • stage entry/exit • duration • freshness • review / expiry • restatement history.

Measure the cost basis of reusable evidence without asserting accounting asset recognition.

The test is whether investment in definitions, lineage, controls and temporal evidence produces measurable operating benefit and stronger decision support.



Benefit observations to test

Reporting cycle time • rework hours • reconciliation exceptions • metric reproduction time • leakage recovered • buyer questions • diligence response time • evidence reconstruction avoided

A higher valuation multiple is the hypothesis to prove—not a claim to make upfront.

Enterprise-value arithmetic is formulaic. The causal relationship between evidence strength and realized multiple requires empirical validation.

WEAK EVIDENCE

10× illustrative multiple
\$20M EBITDA
Definitions drift • attribution weak • buyer reconstruction required

STANDARD EVIDENCE

11× illustrative multiple
\$20M EBITDA
Metrics reproducible and reconciled • attribution partially supported

STRONG EVIDENCE

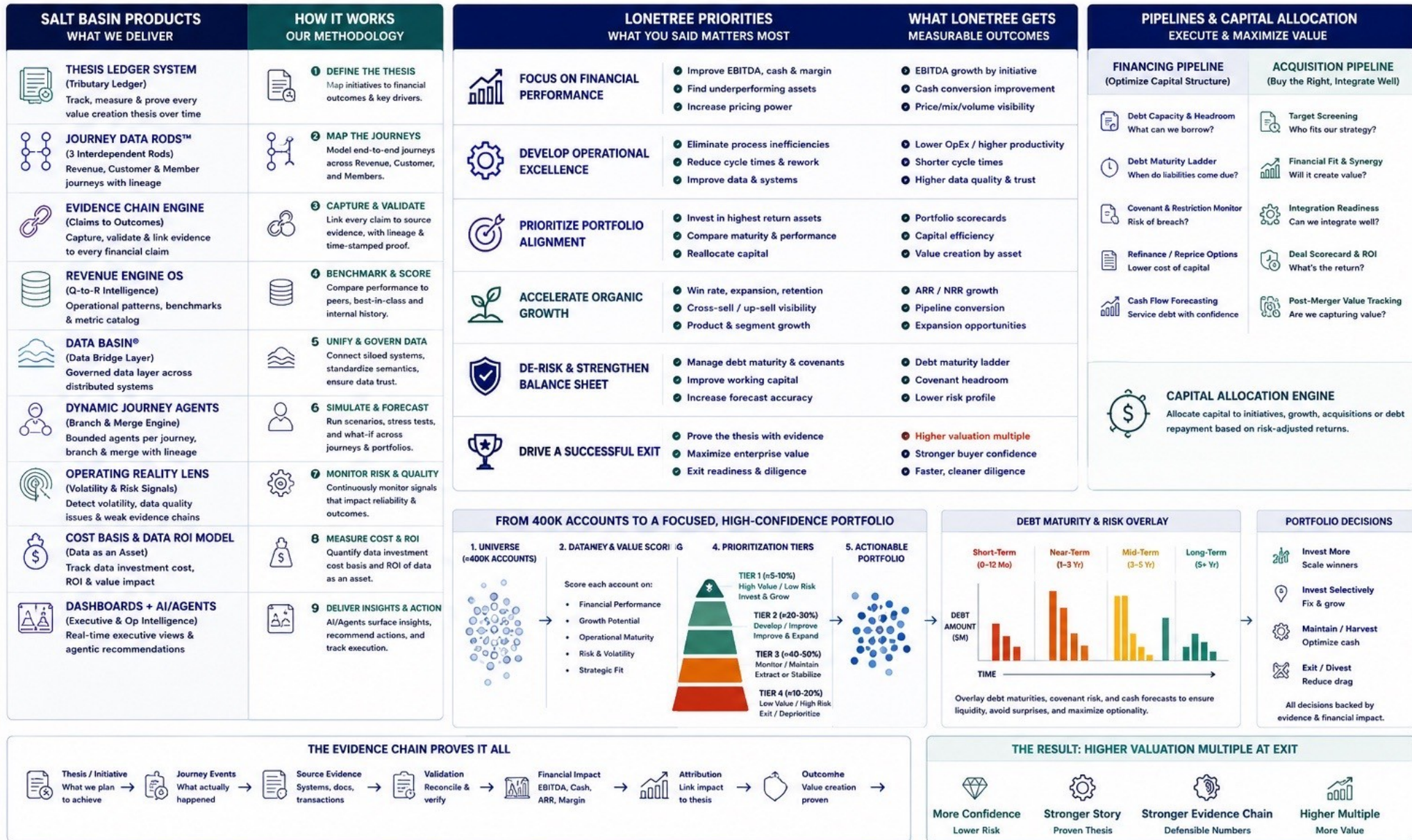
12× illustrative multiple
\$20M EBITDA
Thesis-to-outcome chain reproducible • temporal lineage and driver attribution supported

Illustrative arithmetic: 10× → 12× at \$20M EBITDA = \$40M enterprise-value spread.

What must be backtested: diligence friction • QoE adjustments • buyer risk commentary • financing terms • bid dispersion • retrade frequency • final pricing rationale • growth / margin / sector / leverage / market controls.

SALT BASIN PLATFORM → LONETREE PRIORITIES → ACTIONABLE OUTCOMES

From 400K Accounts to a Defensible Value Creation Plan: Prove the Thesis, Prioritize What Matters, Accelerate Value.



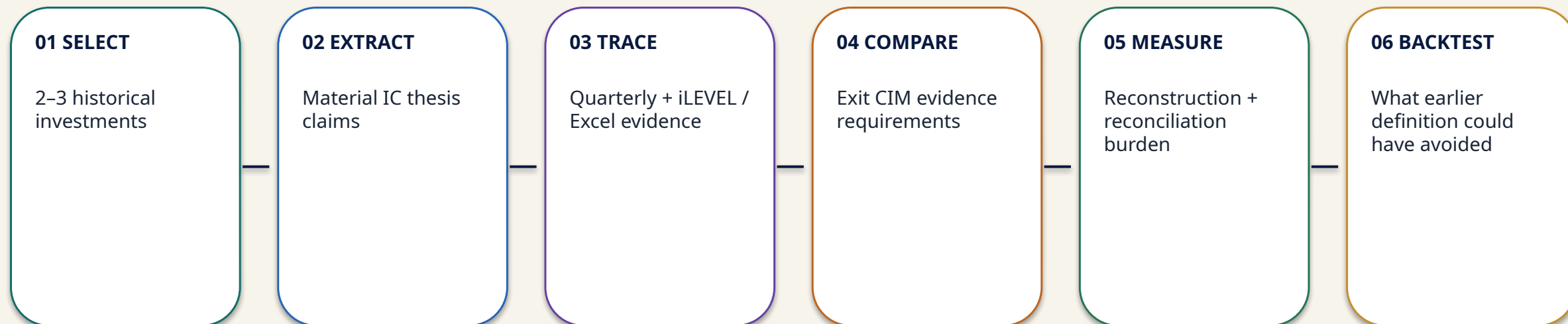
SALT BASIN BUILDS THE EVIDENCE CHAIN TO PROVE WHAT DRIVES VALUE — AND DELIVERS A HIGHER VALUATION MULTIPLE.

Founding engagement and path to scale

Prove the evidence thesis first, quantify the operating burden, then expand into active portfolio and sponsor workflows.

Backtest the hypothesis on LoneTree's own completed deals.

Historical outcomes let Salt Basin test the method before asking LoneTree to adopt a new platform.



Success is evidence—not software adoption.

10 BUSINESS DAYS • 2-3 HISTORICAL DEALS • \$20K FIXED FEE

A bounded output designed to make the hypothesis measurable.

The pilot should produce both a LoneTree operating artifact and a Salt Basin methodology backtest.

THESIS-TO-EXIT EVIDENCE MAP

What was believed → measured → ultimately needed

COST TO PRODUCE TRUTH BASELINE

Manual effort, breaks, definition debt and evidence gaps

METRIC EVIDENCE REGISTER

ARR, NRR, concentration, margin and thesis-specific claims

BREAKPOINT HEATMAP

Where lineage, reconciliation or definitions failed

100-DAY OPPORTUNITY MAP

Actions that improve evidence and operating outcomes

MINIMUM-DEFINITION BLUEPRINT

Business definitions required before API or platform automation

OPTIONAL HIGH-VALUE EXTENSION

One anonymized portco data pack to test revenue leakage, customer / contract lineage and source-event reconciliation

One hypothesis. Multiple commercial entry points.

The same methodology can be applied at different moments without becoming a binary buy / don't-buy screen.

1 • HISTORICAL BACKTEST

Prove the methodology.

Where did the evidence chain break? What had to be rebuilt?
What earlier definition could have avoided the burden?

2 • EXISTING PORTCO BASELINE

Define exit evidence earlier.

Measure claim maturity, revenue lineage, debt / covenant visibility, reporting reconciliation and Cost to Produce Truth.

3 • PRE-ACQUISITION BASELINE

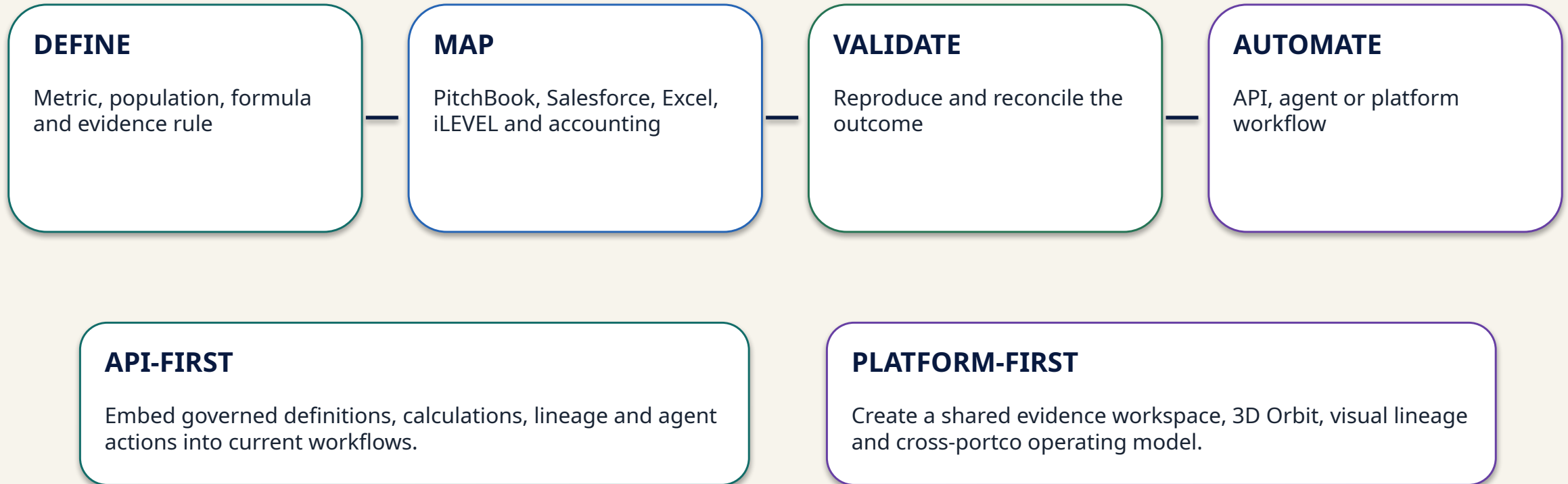
Measure what the buyer inherits.

Define the operational evidence environment at purchase and what measurable success should look like coming out.

DEFINE → MAP → VALIDATE → AUTOMATE

API-first or platform-first is a sequencing decision—not the first question.

Clean and leverage existing systems before deciding what should be replaced.



What did we believe?

What did we measure?

What did we ultimately need to prove?

Let's test where the evidence chain broke—and whether preserving it earlier changes the operating economics of the hold and the defensibility of the exit story.

10 BUSINESS DAYS

2-3 HISTORICAL DEALS

\$20K FIXED FEE

FOUNDING DESIGN PARTNER

Martha (Betsy) Salter / Salt Basin Holdings

APPENDIX

Detailed architecture, data objects, evidence rules and proposal caveats

Core logical object model

The POC-to-data-model mapping implies a governed object layer beyond flat spreadsheet IDs.



Required temporal / lineage metadata: created timestamp/by • effective from/to • updated timestamp/by • version • source system + source record reference • current / prior state • confidence • validation state • evidence references • lineage references.

Minimum data inputs to make the diagnostic real

The request is lightweight enough to start but structured enough to produce a defensible buyer-facing output.

PIPELINE

Current Salesforce export • Excel deal tracker • target-company list • lender / bank tracker • fields + stage definitions

PORTCO REPORTING

Quarterly templates • last two reporting cycles • iLEVEL exports / mappings • manual adjustment log

FINANCE

COA • trial balance • JE detail • revenue accounts • AR • cash • debt activity

LEAD-TO-CASH

Customer / account list • contracts • pricing terms • invoices • credits • payments • renewals • churn / expansion logs

GOVERNANCE

Owners • cadence • approvals • definitions • permissions • cloud / server constraints • reporting recipients

Agent-centric security and distributed semantic projection

Salt Basin should preserve agent context and lineage while respecting native source-system permissions and user entitlements.

PER-AGENT POLICY

Permitted source systems

Allowed transformations

Memory retention

Exposure rules

Action permissions

Evidence / lineage scope

USER / ORG SLICE

Identity

Organization

Role / profile slice

Consent

Read entitlement

Write entitlement

Propose / stage / commit
rights

DISTRIBUTED DATA

Sensitive data may remain source-side.

Agents invoke scoped native-
permission queries and
transformations.

Salt Basin aggregates only
authorized outputs, metadata
and evidence references.

Recommended immediate build sequence

Operational reporting should be driven only from converged governed states.

-
- | | | | |
|----|---|----|---|
| 1 | Formalize Claim Object schema and thesis versioning rules. | 2 | Define Economic Movement and Movement Classification objects. |
| 3 | Define Attribution Object and candidate / competing-driver model. | 4 | Define Counterfactual Object. |
| 5 | Build the time-aware Evidence Allocation Engine. | 6 | Define confidence calculations at atom, molecule, rod and convergence levels. |
| 7 | Map Claim / Attribution / Evidence objects to crystal atom types. | 8 | Define exact data-driven geometric rendering rules. |
| 9 | Build the Data Channel Rod state machine. | 10 | Build cross-rod convergence and reconciliation rules. |
| 11 | Drive operational reporting only from converged governed states. | 12 | Generate an automated Exit Defense Package from the evidence graph. |

Claims, caveats and evidence posture

The proposal should distinguish what is observed, hypothesized, illustrative and empirically proven.

WHAT NOT TO CLAIM

- Stronger evidence guarantees valuation uplift.
- Fewer banker hours automatically reduce success fees.
- Salt Basin replaces market positioning, buyer access or process expertise.
- Synthetic POC values are actual LoneTree or portfolio results.
- Economic data cost basis automatically qualifies for accounting asset recognition.

WHAT TO TEST

- Evidence reconstruction avoided.
- CFO / deal-team burden reduced.
- Buyer diligence response time improved.
- Material metrics become more reproducible.
- Underwriting follow-ups and unexplained adjustments decline.
- Stronger evidence is associated with lower perceived uncertainty after controlling for other variables.

LABELING STANDARD

ILLUSTRATIVE / SYNTHETIC POC DATA — NOT ACTUAL COMPANY RESULTS.

ILLUSTRATIVE HYPOTHESIS — RELATIONSHIP TO VALUATION REQUIRES EMPIRICAL VALIDATION.

Client-provided system and process context must be confirmed during discovery.

EXAMPLE: TH-001 PRICING TRANSFORMATION CLAIM → SALT BASIN DATA MODEL

From POC Excel Row to Defensible Evidence Chain Across 3 Data Rods Over 7 Years

PROVEN → PRIORITIZED → PROVED
Evidence turns data into enterprise value.

1. FROM POC EXCEL (SOURCE)
Sheet: Claims Register + Drivers + Transactions

Claims_Register (Example Row)

Thesis_ID	Thesis_Name	Customer_ID	Start_Date	End_Date	Investment	EBITDA_Impact
TH-001	Pricing Transformation	CUST-017	2023-01-01	2029-12-31	\$850,000	→ \$1,950,000

Drivers (Decomposition for CUST-017)

Price_Effect	Volume_Effect	Mix_Effect	Churn_Effect	AddOn_Effect	Total_ARR_Impact
\$4,000,000	\$2,300,000	\$1,100,000	(\$700,000)	\$1,250,000	\$7,950,000

Transactions (Sample Rows)

Date	Customer_ID	Contract_ID	Event_Type	Amount	Currency
2023-02-15	CUST-017	CTR-1001	Amendment	\$1,800,000	USD
2023-04-01	CUST-017	CTR-1001	Invoice	\$450,000	USD
2023-04-30	CUST-017	CTR-1001	Cash	\$450,000	USD
2023-07-01	CUST-017	CTR-1001	Usage	\$320,000	USD
...	...	...	...	...	...

2. INTO SALT BASIN DATA MODEL (TARGET)
The same information modeled as governed, linked, time-stamped atoms that create a verifiable evidence chain.

SALT BASIN 4D/5D CRYSTAL DATA MODEL
Atoms (3D) → Molecules (Capabilities) → Crystals (Aggregates) → 4D/5D (Time + State)

CORE FOUNDATIONAL ATOMS (Examples)

Customer Identity Atom, Account Atom, Contract Atom, Contract Term Atom, Pricing Version Atom, Product Atom, Commercial Event Atom, Invoice Atom, Usage Event Atom, Revenue Atom, GL Entry Atom, Payment Atom, Debt Facility Atom, Covenant Atom

CAPABILITY MOLECULES (Examples)

Customer 360 Molecule, Commercial Molecule, Revenue Lifecycle Molecule, Financial Molecule, Debt & Capital Molecule, Evidence & Audit Molecule

CRYSTALS (Business Aggregates)

Customer Crystal, Contract Crystal, Thesis / Initiative Crystal, Portfolio Crystal, Entity / Company Crystal

3. THE EVIDENCE CHAIN FOR TH-001 (CUST-017)
One pricing amendment flows across 3 interdependent rods and creates measurable outcomes.

THREE PARALLEL DATA RODS (Always On)

REVENUE LIFECYCLE ROD (Commercial/Financial Truth), CUSTOMER JOURNEY ROD (End-to-End Customer Flow), MEMBER JOURNEY ROD (Org / User / Entitlement Flow)

EXISTING CUSTOMER CHANGE BRANCH (TH-001 Pricing Amendment)

Change Trigger, Assess Impact, Amend Terms, Reprice / Renegotiate, Execute Amendment, Apply to Billing / Usage, Realize Impact / Reconcile

CJ-CHG-0234, CJ-CHG-0235, CJ-CHG-0236, CJ-CHG-0237, CJ-CHG-0238, CJ-CHG-0239, CJ-CHG-0240

4. LITERAL EXAMPLE: TH-001 PRICE AMENDMENT EVENT EXPLODED
From a single amendment to financial impact and proof.

Commercial Event Atom (Amendment)

Event_ID: EVT-2023-02-15-001
Event_Type: Contract Amendment
Customer_ID: CUST-017
Contract_ID: CTR-1001
Effective_Date: 2023-03-01
Prior_Price: \$100.00
New_Price: \$120.00
Price_Change_%%: +20%
Term_Range: 2023-09-01 to 2026-02-28
Pricing_Version_ID: PV-2023-02
Impact_Type: Price_Effect
Captured_By: Sales_Ops
Confidence_Score: 0.92
Source_Doc: /docs/amend_2023-02-15.pdf

Linked Atoms (Lineage Path)

Customer Identity Atom (CUST-017), Contract Atom (CTR-1001), Contract Term Atom (Prior Term), Contract Term Atom (Amended Term), Pricing Version Atom (PV-2023-02), Evidence Atom (Signed Amendment)

Downstream Impact Atoms

Invoice Atoms (INV-2023-04-001 ...), Revenue Atoms (REV-2023-04 ...), GL Entry Atoms (GL-2023-04 ...), Cash Atoms (CASH-2023-04 ...), Usage Event Atoms (if applicable)

Thesis Claim Object

Thesis_ID: TH-001 = \$4,000,000
Revenue Impact (TTM) = \$3,800,000
EBITDA Impact (TTM) = \$1,950,000
Gross Margin Impact = \$2,300,000
Cash Impact = \$3,800,000
Payback (Months) = 5.2
Confidence Score = 0.91

5. OUTCOME MEASUREMENTS (OVER 7 YEARS)
Time-phased impact with reconciliation and confidence.

CUST-017 | TH-001 Pricing Transformation | Outcomes Over Time

Metric	Y1 (2023)	Y2 (2024)	Y3 (2025)	Y4 (2026)	Y5 (2027)	Y6 (2028)	Y7 (2029)	TOTAL / CAGR
ARR Impact (Price)	\$1.2M	\$1.6M	\$1.0M	\$0.6M	\$0.3M	\$0.2M	\$0.1M	\$5.0M / 21%
EBITDA Impact	\$0.45M	\$0.60M	\$0.40M	\$0.25M	\$0.15M	\$0.10M	\$0.05M	\$2.00M / 19%
Cash Impact	\$0.70M	\$1.00M	\$0.70M	\$0.45M	\$0.30M	\$0.25M	\$0.15M	\$3.55M / 20%
Gross Margin Impact	\$0.90M	\$1.30M	\$0.90M	\$0.60M	\$0.40M	\$0.30M	\$0.20M	\$4.60M / 20%
Confidence Score	0.88	0.90	0.92	0.93	0.93	0.94	0.94	0.92 Avg

Reconciliation (Proof)

Revenue ↔ GL Reconciled, Invoices ↔ AR Reconciled, Cash ↔ Bank Reconciled, Debt ↔ Debt Activity Reconciled, Covenants Headroom Calculated

Attribution (Isolation)

Price: 50%, Volume: 29%, Mix: 13%, Churn Offset: (9%), Add-On: 16%

6. HOW THIS SOLVES FOR LONETREE'S PRIORITIES

Prioritize Customers & Assets, Better Underwriting & Easier Financing, Debt Maturity Visibility, Financing vs Acquisition Pipeline, 400K Accounts → Focused List, Value Creation Tracking

Scorecards rank customers by return, maturity, risk & growth.
Defensible EBITDA, cash flow & debt metrics → stronger underwriting confidence.
Overlay debt maturities, covenants, headroom & refinance windows.
Compare risk-adjusted returns of financing opportunities vs acquisition targets.
Universe → score → tiers → ~5-10K focused → ~500 investable.
Initiatives linked to outcomes with time-stamped evidence & measurable impact.

7. SALT BASIN DIFFERENTIATORS THAT MAKE THIS POSSIBLE

Three Data Rods, Crystal Atom Model, Evidence Chain Engine, Dynamic Journey Agents, Data Basin® Layer

Ensure end-to-end truth across commercial, customer & member dimensions.
Every element has one source of truth, lineage, time, state & confidence.
Links claims to outcomes with immutable proof.
Model changes, branches, merges, and lineage.
Governed semantic layer across all systems (no rip & replace).

SALT BASIN TURNS SPREADSHEETS INTO DEFENSIBLE, TIME-STAMPED, SOURCE-LINKED TRUTH. → MORE CONFIDENCE. LOWER RISK. STRONGER STORY. HIGHER VALUATION MULTIPLE.

THESIS PROVEN → VALUE UNLOCKED
That is how we build a higher valuation multiple at exit.

EXAMPLE: TH-001 PRICING TRANSFORMATION CLAIM → SALT BASIN 3D DATA MODEL

From POC Excel Row to Defensible Evidence Chain Across 3 Data Rods Over 7 Years

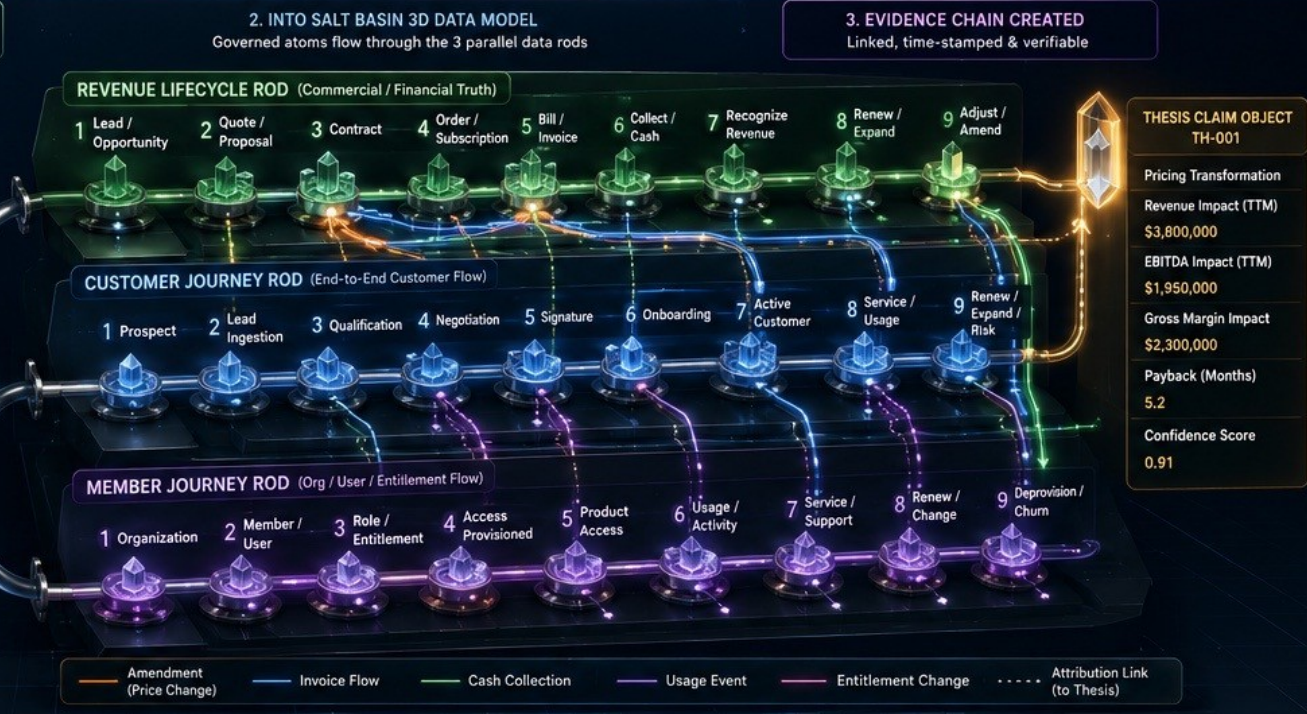
PROVEN → PRIORITIZED → PROVED
Evidence turns data into enterprise value.

1. FROM POC EXCEL (SOURCE)
Raw data becomes structured events

POC EXCEL ROW (TH-001)		
Thesis ID	TH-001	
Thesis Name	Pricing Transformation	
Customer ID	CUST-017	
Start Date	2023-01-01	
End Date	2029-12-31	
Investment	\$850,000	
EBITDA Impact	\$1,950,000	
DRIVERS (Decomposition)		
Price Effect	\$4,000,000	
Volume Effect	\$2,300,000	
Mix Effect	\$1,100,000	
Churn Effect	(\$700,000)	
AddOn Effect	\$1,250,000	
Total ARR Impact	\$7,950,000	
SAMPLE TRANSACTIONS		
Date	Event Type	Amount
2023-02-15	Amendment	\$1,800,000
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2023-04-30	Cash	\$450,000
2023-07-01	Usage	\$320,000
...	...	...

ONE ROW IN EXCEL
BECOMES HUNDREDS OF
LINKED ATOMS & EVENTS

4. LITERAL EXAMPLE: TH-001
PRICE AMENDMENT EVENT
EXPLODED
(Single event → Full impact chain)



4. OUTCOMES & VALUE CREATED
Measurable impact over 7 years

STRONGER FINANCIALS

- ↑ EBITDA
- ↑ Cash Flow
- ↑ Gross Margin
- ↑ Pricing Power

BETTER UNDERWRITING

- ↑ Reproducible Metrics
- ↑ Clear Cash Flow
- ↑ Lower Risk Perception
- ↑ Faster Lender Response

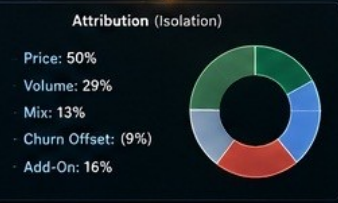
EASIER FINANCING

- ↑ More Debt Capacity
- ↑ Better Terms
- ↑ Lower Cost of Capital
- ↑ More Financing Options

HIGHER VALUATION

- ↑ Stronger Story
- ↑ Stronger Evidence Chain
- ↑ Higher Confidence
- ↑ Higher Multiple

**RESULT:
HIGHER VALUATION MULTIPLE
AT EXIT**



5. HOW THIS SOLVES FOR LONETREE'S PRIORITIES

- Better Underwriting & Easier Financing**
Defensible EBITDA, cash flow & debt metrics = stronger underwriting confidence.
- Debt Maturity Visibility**
Overlay debt maturities, covenants, headroom & refinance windows.
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That is how we build a higher valuation multiple at exit.